the GDR through a local custodian. This provision can be used after 45 days from the date of issue.

7. Under GDR, the issuing company transacts with only one entity for all its transactions.

20.05 American Depository Receipts (ADR)

ADR is a dollar denominated negotiable certificate representing a non-US company in US market which allows the US citizens to invest in overseas securities.

Process of issuing ADRs

Steps

1. First of all, a company hands over the shares to a Domestic Custodian Bank (DCB)
2. Then DCB requests the American Depository Bank (ADB) to issue the shares in the form of ADRs
3. ADB converts the issue which are in rupees into US dollars
4. Finally, ADB issues them to the intending investors.

Features of ADR

The features of ADR are briefly given hereunder

1. ADRs are denominated only in US dollars.



American Depository Receipt (ADR) of Sony Corporation, Japan

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2. They are issued only to investors who are American residents.
3. The depository bank should be located in US.
4. The approval of Securities and Exchange Commission (SEC) of US needs to be obtained for issuing ADR.
5. They are sub-classified on the basis of level of clearance made by SEC.

20.06 Foreign Currency Convertible Bonds (FCCB)

Foreign currency convertible bond is a special type of bond issued in the currency other than the home currency. In other words, companies issue foreign currency convertible bonds to raise money in foreign currency.

Features of FCCBs

1) FCCB is issued by an Indian company in foreign currency.
2) These are listed and traded in foreign stock exchange and similar to the debenture.
3) It is a convertible debt instrument. It carries interest coupon. It is unsecured.
4) It gives its holders the right to convert for a fixed numbers of shares at a pre-determined price.
5) It can be converted into equity or depository receipt after a certain period.
6) The amount received from the issue of FCCB should be utilised as per the guidelines of External Commercial Borrowing (ECB).

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